

Hungry for ACTION

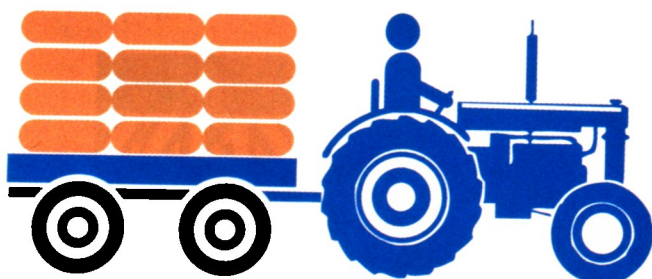
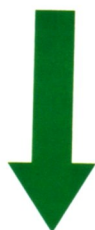
A Rotting System

Missing links in the food chain that India needs to fill to avoid wastage



PROCUREMENT

The farmer needs to be able to sell his produce to whom he wants to, when he wants to and where he wants to. The APMC Act was established in 2003 to facilitate this. Only 15 states have implemented it, however, and some states have no law in place.



| By Nivedita Mukherjee |

It happens only in India. The country is the second largest producer of food in the world, yet over 300 million people go without two square meals a day. Ironically, food worth Rs 58,000 crore—by the government's own admission—is wasted every year. Reason: the country processes just 2 per cent of the produce from its \$182-billion food industry. According to the Ministry of Food Processing, India produces 90 million tonnes of milk and 485 million livestock annually, the highest in the world, besides being the second largest producer of fruit and vegetables (150 million tonnes) and the third largest producer of foodgrain (204 million tonnes) and fish (6.3 million tonnes). Impressive statistics have meant little because a large part of perishables are wasted as the government has failed to create a farm-to-fork supply chain.

For the farm-to-fork revolution to become a reality, there has to be a seamless flow from what is sown in the fields to procurement, processing, storage, logistics and transport and retailing, say experts. Farmers have to grow the right food, industry has to be able to procure directly from farm gates, outdated laws have to be weeded out and stringent quality standards have to be set, they explain. Subodh Kant Sahay, minister for food processing in the UPA regime, says post-harvest infrastructure has to be created and gaps in the supply chain have to be filled. But is this being done?

Tight regulation and obsolete laws have kept out investments from the food processing industry. Crop varieties are limited, farmers still get poor returns, logistics are inadequate and cold chain facilities have remained cold. These inefficiencies are said to be costing the nation Rs 58,000 crore annually. Shrijeet Mishra, executive director-foods, Hindustan Unilever, says, "About 40 per cent of farm produce in the country is wasted due to inappropriate storage, lack of primary processing facilities and inefficient procurement."

The problem has been hanging fire since 1988 when the Food Processing Ministry was first created and it has seen several committees, commissions and two GoMs in the last tenure of the UPA. The government attempted to enact an integrated food law and formulate a comprehensive strategy for the sector. It included food parks, packaging centres and integrated cold chain facilities. Issues relating to the growth of the industry have also figured in the meetings of the Parliamentary Standing Committee on Agriculture set up in 2004. According to the committee, "There are several agencies/departments working in this field but under different ministries and they have no co-ordination among themselves to raise the level of food processing in our country." The committee has strongly recommended a percentage to be fixed for the industry within the priority sector lending of banks and introduction of a unified food standards law.

Ideally, this calls for public-private partnership but in the absence of policy

PROCESSING

Traditional methods of processing such as sun-drying and fermentation have worked so far, but as Indians become conscious of better quality and hygiene, these will no longer work. The government has been dragging its feet on implementing the Food Safety Act.